The Cantonments Act of 2006 was enacted to consolidate and amend the law relating to the administration of cantonments with a view to impart greater democratisation, improvement of their financial base to make provisions for developmental activities and for matters connected with them. This Act has repealed the Cantonments Act of 1924.

At present, there are 62 cantonment boards in the country. They are grouped into four categories on the basis of the civil population. This is shown in Table 40.2.

Table 40.2 Classification of Cantonment Boards

Category	Civil Population
I	Above 50,000
II	10,000 to 50,000
III	2,500 to 10,000
IV	Below 2,500

A cantonment board consists of partly elected and partly nominated members. The elected members hold office for a term of five years while the nominated members (i.e., ex-officio members) continue so long as they hold the office in that station. The military officer commanding the station is the ex-officio president of the board and presides over its meetings. The vice-president of the board is elected by the elected members from amongst themselves for a term of five years.

The Category I cantonment board consists of the following members:

1. A military officer commanding the station
2. An executive engineer in the cantonment
3. A health officer in the cantonment
4. A first class magistrate nominated by the district magistrate
5. Three military officers nominated by the officer commanding the station
6. Eight members elected by the people of the cantonment area
7. Chief Executive Officer of the cantonment board

The functions performed by a cantonment board are similar to those of a municipality. These are statutorily categorised into obligatory functions and discretionary functions. The sources of income includes both, tax revenue and non-tax revenue.